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2EB

ALAMEDA RESEARCH
2: ELECTRIC BOOGALOO
LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

INTERNAL RESEARCH · MEMO · NOT INVESTMENT ADVICE · AI-ASSISTED

Robinhood Markets

2 July 2026 · the qualitative

$108.65

NASDAQ : HOOD · Mature-Company DCF

$96.54B mkt cap · 888M sh · $4.26B cash, zero debt · Net cash ~$4.3B, no debt; ~888.5M shares and growing (SBC-dilutive); ~$82.8B market cap; Revenue $4.473B FY25 (+49%); ~50% adj-EBITDA margin in Q1'26 ($534M); FCF positive (~$1.6B), but capital-light and cyclical; Down ~27% YTD to ~$93 (52-wk $63.52-$153.86), giving back part of a ~280% 2025 rally

THE CENTRAL QUESTION

Has Robinhood diversified beyond crypto and rates into a durable platform worth ~52x FCF — or is it still a transaction broker levered to the crypto and rate cycle?

Robinhood trades at ~$82.8B (~$93, down ~27% YTD after a ~280% 2025 rally) — ~52x FCF on $4.473B revenue growing ~49%, ~50% adj-EBITDA margin, net cash, share count rising (SBC-dilutive). Roughly a third of revenue is rate-sensitive net interest (~$40M/qtr per 25bp Fed cut) and transaction revenue is crypto/rate-cyclical (crypto -47% last quarter). The DCF asks whether events/futures/options/Gold make HOOD a durable platform or it reverts to a transaction broker. The finding: even the bull lands -40%, and only the ultra-bull (-14%) approaches fair — the price embeds a hyper-growth platform the modal case (-59%) doesn't deliver.

PROBABILITY-WEIGHTED EXPECTED VALUE

$39.45 expected fair value today

-63.7% vs spot $108.65

FORWARD COMPOUNDED VALUE

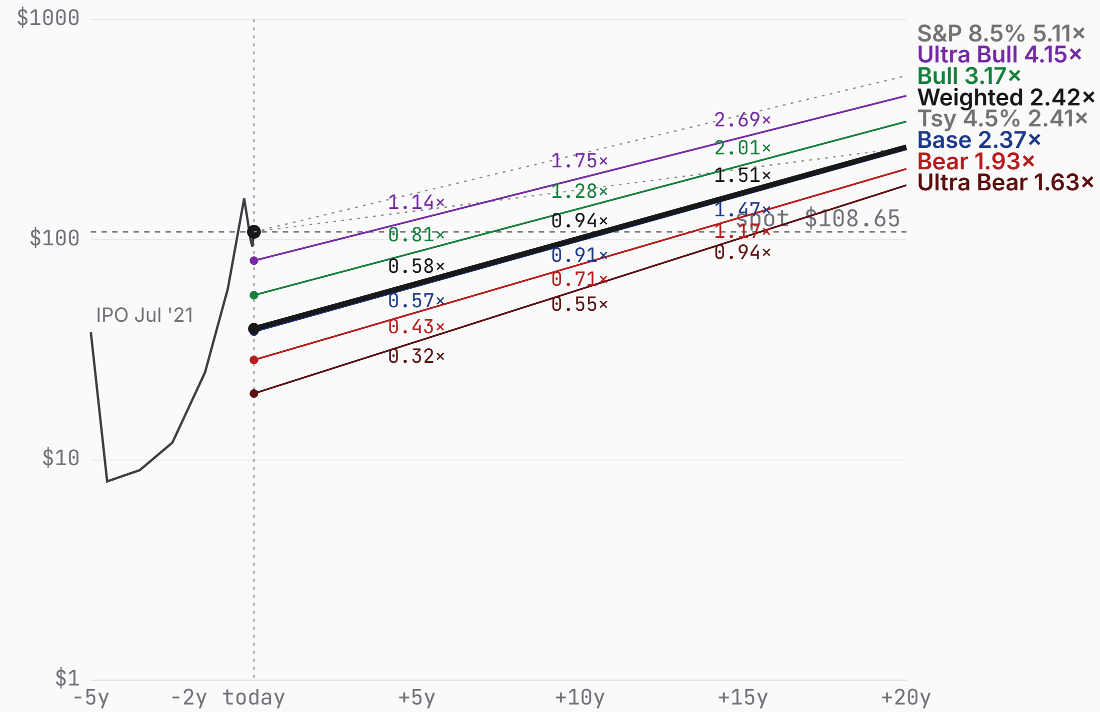
+5y	+10y	+15y	+20y
$63.33	$101.75	$163.66	$263.46
0.58× spot	0.94× spot	1.51× spot	2.42× spot

WEIGHTING RATIONALE

Ultra Bear 15% Crypto rolls over; rate cuts bite; ~$20 (-79%).
Bear 27% Diversifies slowly; growth normalizes; ~$28 (-69%).
Base 32% Diversification holds; growth fades to high-single; ~$38 (-59%).
Bull 18% Platform scales on events/futures/Gold; ~$56 (-40%).
Ultra Bull 8% Full fintech platform; cyclicality fades; ~$80 (-14%).

Bull (18%) + Ultra Bull (8%) together contribute $16.51 — 42% of the $39.45 expected value despite 26% combined probability. Today's spot ($108.65) sits 175% above the weighted expected; forward-weighted value crosses spot between +5y and +10y.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



ULTRA BEAR	BEAR	BASE	BULL	ULTRA BULL
$20.05	$28.47	$38.25	$56.02	$80.38
-81.5% vs spot	-73.8% vs spot	-64.8% vs spot	-48.4% vs spot	-26.0% vs spot
CAGR +2.5% WACC 11.5%	CAGR +5.8% WACC 10.5%	CAGR +9.8% WACC 10.0%	CAGR +14.5% WACC 9.5%	CAGR +19.4% WACC 9.0%
CAGR +2.5% Prob 15%	CAGR +5.8% Prob 27%	CAGR +9.8% Prob 32%	CAGR +14.5% Prob 18%	CAGR +19.4% Prob 8%
Crypto rolls over; rate cuts bite.	Diversifies slowly; growth normalizes.	Diversification holds; growth decelerates to high-single.	Platform scales; events/futures/Gold compound.	Full fintech platform; crypto cyclicality fades.

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Robinhood Markets scenario narratives

PROBABILITY WEIGHTS

Ultra Bear 15% Bear 27% Base 32% Bull 18% Ultra Bull 8% · Weighted expected $39.45 (-63.7% vs spot)

ULTRA BEAR $20.05

-81.5% vs spot

Probability 15%

Crypto rolls over; rate cuts bite.

WHY 15%

The genuine bear: crypto revenue already fell 47% in a single quarter and ~32% of revenue rides net interest into a cutting cycle. 15% weight on the cycle turning before diversification matures.

WHAT HAPPENS

The cyclical case turns: crypto extends its slide (transaction already -47% there last quarter), the Fed cuts and ~$40M/qtr per 25bp drains net interest, and the events/futures push doesn't scale fast enough to offset. Revenue dips then crawls back low-single-digit as a transaction broker, not a platform.

A cyclical broker whose growth has reversed earns a low-teens FCF multiple → DCF ~$20 (-79%). Net cash sets a floor, but at ~52x FCF entry the de-rate to a cyclical multiple is most of the loss.

BEAR $28.47

-73.8% vs spot

Probability 27%

Diversifies slowly; growth normalizes.

WHY 27%

Diversification is real but partial, and the rate/crypto cycle caps the multiple. 27% as the plausible 'diversifies but stays cyclical' path given the Q1 mix shift.

WHAT HAPPENS

Events/options/Gold grow but the crypto and rate cyclicality keep the top line lumpy; revenue normalizes to mid-single-digit as the hyper-growth fades and the SBC-driven share count keeps creeping. Robinhood is a good diversified broker, not a compounding platform.

DCF ~$28 (-69%) - a ~30%-FCF-margin broker growing mid-single-digit is worth a mid-teens multiple, well below ~52x; the market's premium unwinds as growth normalizes.

BASE $38.25

-64.8% vs spot

Probability 32%

Diversification holds; growth decelerates to high-single.

WHY 32%

Requires the new lines to keep scaling while crypto/rates stay choppy - consistent with the Q1 diversification but not a step-change. 32% as the central outcome.

WHAT HAPPENS

The modal path: event contracts (+320% off a small base), futures (MIAXdx JV), options, Gold (4.3M subs/+36%) and banking/credit broaden the mix enough to keep ~30%+ FCF margins and double-digit-fading-to-high-single growth, but the crypto and rate cyclicality stays in the model. Revenue compounds toward ~$7B.

DCF ~$38 (-59%) - even crediting durable diversification at a ~16x FCF terminal, the modal case sits well below spot; ~52x FCF prices a faster, less cyclical platform than the base delivers.

BULL $56.02

-48.4% vs spot

Probability 18%

Platform scales; events/futures/Gold compound.

WHY 18%

Robinhood's ~50% EBITDA margin, 36% Gold-sub growth and 320% event-contract growth make a platform path credible. ~18% weight on the diversification compounding.

WHAT HAPPENS

The diversification thesis lands: prediction markets, futures, options and the Gold/banking ecosystem compound into a durable platform, deposit growth (~20%) cushions rate cuts, and Robinhood out-grows the cycle at a ~35% FCF margin. Revenue compounds high-teens early then high-single as the base scales.

DCF ~$56 (-40%) - a genuine platform re-rate, yet still below spot; even crediting the bull case, ~52x FCF starts above where durable diversification gets you.

ULTRA BULL $80.38

-26.0% vs spot

Probability 8%

Full fintech platform; crypto cyclicality fades.

WHY 8%

Everything compounds - events AND futures AND Gold AND banking AND a multiple that holds - the durable-platform outcome. ~8%, the long-duration tail.

WHAT HAPPENS

The full second act: prediction markets become a major venue, futures/tokenized assets/Bitstamp scale globally, banking/credit deepen the relationship, and the revenue base diversifies enough that the crypto/rate cycle stops driving it - a true fintech platform at a high-30s% FCF margin. Revenue compounds ~20%+ early.

DCF ~$80 (-14%) - the only path that approaches today's price, and it requires nearly everything to work; ~8% probability, the asymmetric outcome the rich entry is paying for.

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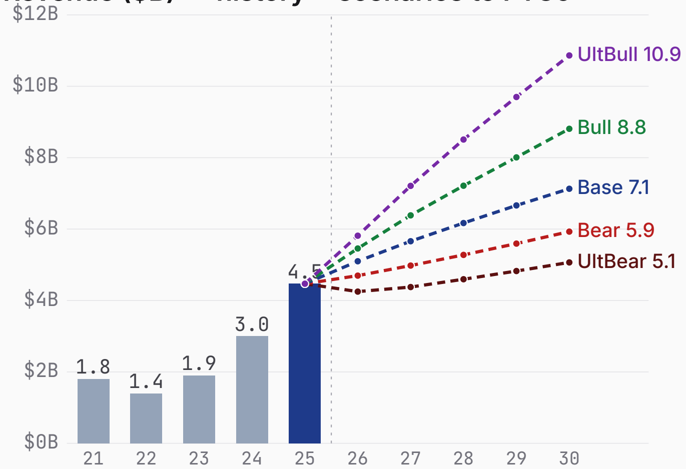
2 July 2026 · the snapshot

Robinhood Markets business snapshot

Bear $28.47 Base $38.25 Bull $56.02

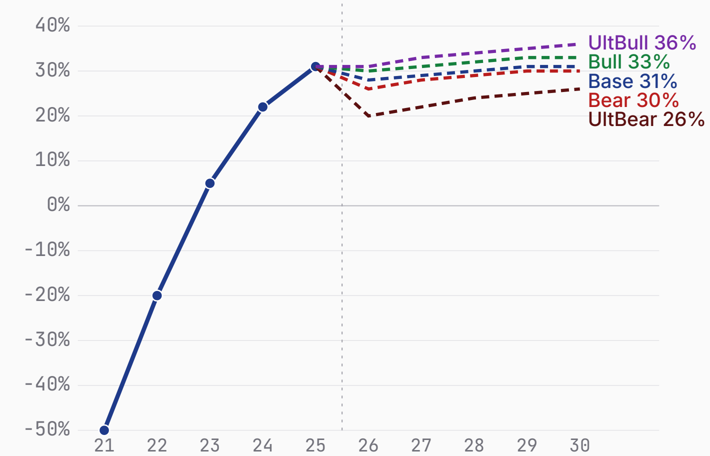
FY21-FY25 history + FY26-FY30 scenario projections · fiscal years end Dec · Q1 FY2026 results (Apr-28)

Revenue ($B) — history + scenarios to FY30

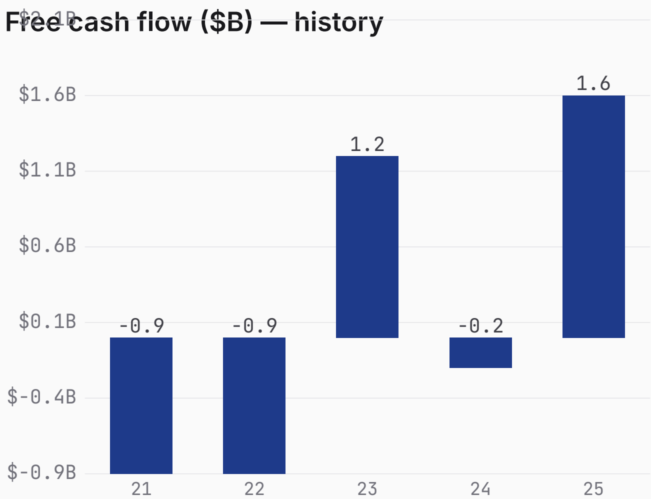


Revenue by segment ($B)

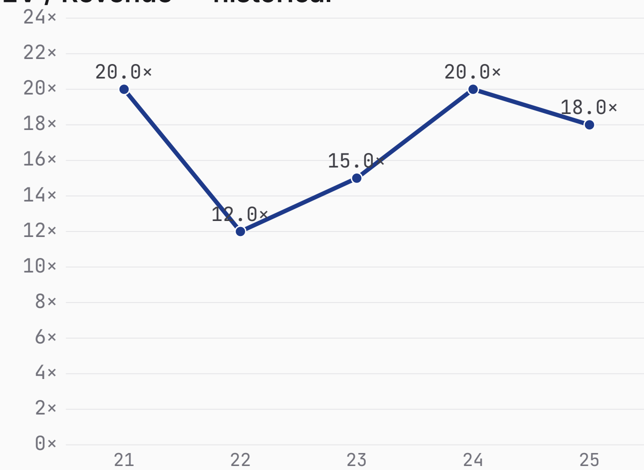
Op margin — history + scenarios



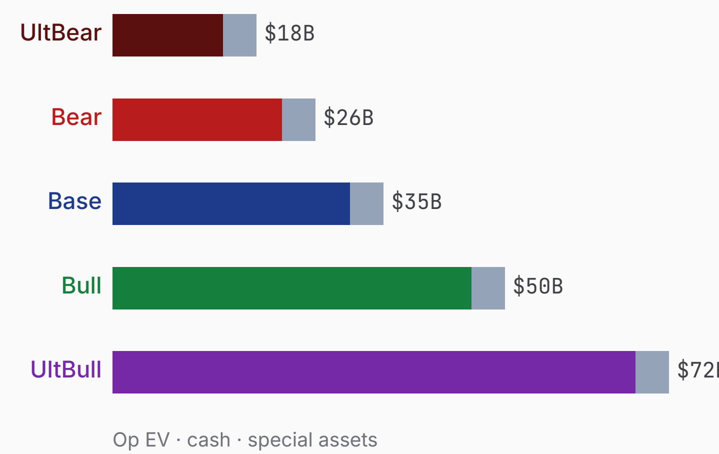
Free cash flow ($B) — history



EV / Revenue — historical



Equity build (Op EV + net cash)



Sources: SEC XBRL company facts (CIK 1783879), Robinhood Q1 FY2026 release (net revenue $1.07B/+15%, transaction $623M incl event contracts $147M/+320% and crypto $134M/-47%, net interest $359M/+24%, adj EBITDA $534M/~50% margin, 27.4M funded customers). CAVEAT: XBRL tags no clean broker operating margin, so the op-margin history uses net-margin estimates. Revenue is a growth path off FY25; FCF = revenue x FCF margin; Gordon terminal. Multiples vs Coinbase / Schwab / IBKR.

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Robinhood Markets 7 Powers · the moat, scored

Bear $28.47 Base $38.25 Bull $56.02

Arena. Online brokerage / fintech rails - Robinhood (mobile-first broker, 27.4M funded customers, Gold ecosystem) vs Coinbase, Charles Schwab, Interactive Brokers, Webull, Cash App; auditing a nascent platform/branding Power against a weak moat and the transaction/rate cycle.

POWER AUDIT
dominant-power durability: medium

POWER AUDIT · 7 POWERS

Scale Economies · thesis leans here (3/3)
The dominant Power: 27.4M funded customers and ~$4.5B revenue spread fixed tech/clearing/compliance cost - real operating leverage (~50% EBITDA margin), the source of the FCF.

Network Economies (1/3)
Nascent - prediction markets and a social/referral layer have mild network character, but trading isn't a true two-sided network.

Counter-Positioning (2/3)
Was the zero-commission disruptor that forced incumbents to drop fees; now the model is copied (Schwab/Fidelity went free), so the edge has eroded to brand/UX.

Switching Costs (1/3)
Weak - ACATS portability and low balances make accounts easy to move; this is the moat's central hole.

Branding (2/3)
A genuine consumer-fintech brand (the app + Gold ecosystem, default broker for a younger cohort), but young and not yet pricing power.

Cornered Resource (0/3)
None - no proprietary asset; order flow, rates and crypto venues are all contestable.

Process Power (1/3)
Fast product velocity (events, futures, banking, Bitstamp shipped quickly), but execution speed, not a structural process moat.

PEER SET

Coinbase (COIN) — 40% gr · 30% mgn · ~25x EV/FCF
The crypto-cycle benchmark; the comp for Robinhood's crypto-revenue swings and exchange economics.

Charles Schwab (SCHW) — 10% gr · 40% mgn · ~18x P/E
Scale incumbent that went commission-free; far larger asset base, the brokerage the disruption targeted.

Interactive Brokers (IBKR) — 20% gr · 65% mgn · ~22x P/E
High-margin, rate-levered broker; the closest cyclical-broker multiple comp.

Webull / Cash App — 20% gr · varies
Mobile-first challengers competing for the same younger cohort; switching-cost pressure on the franchise.

THREAT VECTORS · FALSIFIERS

Scale Economies · The transaction + rate cycle
falsifier: Crypto transaction revenue keeps falling and Fed cuts drain net interest, so revenue growth normalizes below ~10% before the new lines scale.

Switching Costs · Bigger brokers + mobile challengers (Schwab/Fidelity/Webull/Cash App)
falsifier: Funded-customer or deposit growth stalls as low switching costs let balances migrate to incumbents or rivals.

Branding · Regulatory action (EU tokenized equities, prediction markets)
falsifier: A regulatory curb on tokenized equities or event contracts caps the diversification lines the bull depends on.

> **COMPETITIVE READ**
> Robinhood's Power is scale_economies - 27.4M funded customers and ~$4.5B revenue across fixed tech/clearing cost throw off a ~50% EBITDA margin and the FCF that supports the case - plus a nascent network/branding edge in the app and Gold ecosystem. But the moat is weak: switching costs are near zero (ACATS portability), the zero-commission counter-positioning has been copied, and the live threat is the transaction/rate cycle itself (crypto -47% last quarter, ~$40M/qtr per 25bp rate cut) plus bigger brokers. The Audit: the scale Power is medium-durable, diversification is genuine but early, and that squares with a DCF where ~52x FCF prices a durable platform the modal case (-59%) doesn't deliver - only the ultra-bull (-14%), where the cyclicality truly fades, approaches today's price.

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2 July 2026 · the quantitative

Robinhood Markets show your work

Bear $28.47 Base $38.25 Bull $56.02 · Weighted $39.45 (-63.7%)

ULTRA BEAR $20.05

ASSUMPTIONS

5y revenue CAGR (%)	+2.5
Year-5 op margin (%)	26.0
WACC (%)	11.5
Terminal growth (%)	3.0
5y revenue CAGR (%)	+2.5
Starting revenue ($B)	4.47
Scenario probability (%)	15

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	4.25	+20%	+0.94	+0.84
FY27	4.38	+22%	+1.05	+0.84
FY28	4.60	+24%	+1.20	+0.86
FY29	4.83	+25%	+1.30	+0.84
FY30	5.07	+26%	+1.42	+0.82

Σ PV explicit FCF	+4.21
+ PV terminal (g 3.0%)	9.98

EQUITY BUILD · $B & PER SHARE

Operating EV	$14.19B
+ Cash & investments	$4.26B
= Equity value	$18.45B
FY30 shares (M)	920
= Expected per share	$20.05

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$34.55	$59.55	$102.62	$176.85
0.32×	0.55×	0.94×	1.63×

BEAR $28.47

ASSUMPTIONS

5y revenue CAGR (%)	+5.8
Year-5 op margin (%)	30.0
WACC (%)	10.5
Terminal growth (%)	3.0
5y revenue CAGR (%)	+5.8
Starting revenue ($B)	4.47
Scenario probability (%)	27

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	4.70	+26%	+1.31	+1.19
FY27	4.98	+28%	+1.49	+1.22
FY28	5.28	+29%	+1.64	+1.21
FY29	5.59	+30%	+1.79	+1.20
FY30	5.93	+30%	+1.90	+1.15

Σ PV explicit FCF	+5.98
+ PV terminal (g 3.0%)	15.81

EQUITY BUILD · $B & PER SHARE

Operating EV	$21.79B
+ Cash & investments	$4.26B
= Equity value	$26.05B
FY30 shares (M)	915
= Expected per share	$28.47

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$46.90	$77.27	$127.30	$209.72
0.43×	0.71×	1.17×	1.93×

BASE $38.25

ASSUMPTIONS

5y revenue CAGR (%)	+9.8
Year-5 op margin (%)	31.0
WACC (%)	10.0
Terminal growth (%)	3.5
5y revenue CAGR (%)	+9.8
Starting revenue ($B)	4.47
Scenario probability (%)	32

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	5.10	+28%	+1.53	+1.39
FY27	5.66	+29%	+1.75	+1.45
FY28	6.17	+30%	+1.97	+1.48
FY29	6.66	+31%	+2.20	+1.50
FY30	7.13	+31%	+2.35	+1.46

Σ PV explicit FCF	+7.29
+ PV terminal (g 3.5%)	23.26

EQUITY BUILD · $B & PER SHARE

Operating EV	$30.55B
+ Cash & investments	$4.26B
= Equity value	$34.81B
FY30 shares (M)	910
= Expected per share	$38.25

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$61.60	$99.21	$159.78	$257.33
0.57×	0.91×	1.47×	2.37×

BULL $56.02

ASSUMPTIONS

5y revenue CAGR (%)	+14.5
Year-5 op margin (%)	33.0
WACC (%)	9.5
Terminal growth (%)	4.0
5y revenue CAGR (%)	+14.5
Starting revenue ($B)	4.47
Scenario probability (%)	18

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	5.46	+30%	+1.75	+1.59
FY27	6.38	+31%	+2.11	+1.76
FY28	7.21	+32%	+2.45	+1.87
FY29	8.01	+33%	+2.80	+1.95
FY30	8.81	+33%	+3.08	+1.96

Σ PV explicit FCF	+9.13
+ PV terminal (g 4.0%)	37.03

EQUITY BUILD · $B & PER SHARE

Operating EV	$46.16B
+ Cash & investments	$4.26B
= Equity value	$50.42B
FY30 shares (M)	900
= Expected per share	$56.02

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$88.19	$138.83	$218.55	$344.05
0.81×	1.28×	2.01×	3.17×

ULTRA BULL $80.38

ASSUMPTIONS

5y revenue CAGR (%)	+19.4
Year-5 op margin (%)	36.0
WACC (%)	9.0
Terminal growth (%)	4.0
5y revenue CAGR (%)	+19.4
Starting revenue ($B)	4.47
Scenario probability (%)	8

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	5.81	+31%	+1.92	+1.76
FY27	7.21	+33%	+2.52	+2.12
FY28	8.51	+34%	+3.06	+2.37
FY29	9.70	+35%	+3.59	+2.54
FY30	10.86	+36%	+4.13	+2.68

Σ PV explicit FCF	+11.48
+ PV terminal (g 4.0%)	55.80

EQUITY BUILD · $B & PER SHARE

Operating EV	$67.28B
+ Cash & investments	$4.26B
= Equity value	$71.54B
FY30 shares (M)	890
= Expected per share	$80.38

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$123.67	$190.29	$292.78	$450.48
1.14×	1.75×	2.69×	4.15×

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Robinhood Markets People · Opportunity · Context · Deal

Bear $28.47 Base $38.25 Bull $56.02

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

PEOPLE · WHO RUNS / OWNS / FUNDS IT

Vlad Tenev · founder-led — 13 yrs in seat

12% insider ownership

MEDIUM key-person risk

Capital allocation (realized)
Co-founder Vlad Tenev is Chairman, CEO and President (co-founded 2013). The company is now profitable (FY2025 revenue ~$4.5B, adjusted EBITDA ~$2.5B) with ~$5B cash and minimal debt. Capital return began post-profit: a $1B buyback authorized May 2024, raised to $1.5B by March 2026 (~$1.2B executed), no dividend. Recent acquisitions include Bitstamp (~$200M) and TradePMR (~$300M); crypto is an expanding line. Co-founder Baiju Bhatt left management in 2024 (to found Aetherflux) but remains a director.

Incentive alignment
A notable shareholder-friendly action: the 2021 founder mega-RSU award (~$4.7B at grant, vesting on $120-$300 price targets) was voluntarily cancelled in 2023 with none of it vested. Tenev holds ~6% economic / ~24% of the vote; the co-founders together control a majority of votes. Insider selling is recurring and 10b5-1-scheduled.

GOVERNANCE FLAGS

- three-class structure with Class B = 10 votes (held only by the co-founders): Tenev ~24% of the vote on ~6% economics, and the co-founders together control a majority of votes
- combined Chair & CEO (Tenev), mitigated by a long-tenured lead independent director (Jonathan Rubinstein)
- the super-voting sunset is distant (2036), so founder voting control persists for years
- co-founder Bhatt left management (2024) but remains a director and is selling down his Class B stake
- CEO split attention — Tenev is also executive chairman of a separate AI company (Harmonic)
- extensive regulatory history (SEC $65M in 2020; FINRA $70M in 2021 and ~$30M in 2025 — payment-for-order-flow, supervision, AML)
- shareholder-friendly offset: the 2021 ~$4.7B founder mega-RSU award was voluntarily cancelled in 2023, unvested

THE FOUR LEGS

People ●●●○○
observable composite · 1–5

Opportunity
The scenario distribution · the Page-3 business snapshot · the Arthur Indicator

Context
The 7 Powers analysis (Power Audit)

Deal
Open-market purchase = the deal: entry price vs. the scenario distribution (the -57.7% finding) + position sizing.

> PEOPLE READ
> A dual-class super-voting structure with the founders controlling a majority of votes, plus a combined Chair/CEO, are the entrenchment flags. They are offset enough to hold a 3 rather than drop lower: a long-tenured lead independent director, an 8-of-10 independent board with annual elections, the genuinely shareholder-friendly cancellation of the 2021 mega-award, and a now-profitable business returning capital. The extensive regulatory history is an operating/compliance flag rather than a structural one. Key-person risk is moderate given the deep, professionalized bench.

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Robinhood Markets supporting analysis · disclaimers · glossary

Bear $28.47 Base $38.25 Bull $56.02

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

1 **~52x FCF prices a platform, not a broker.**
~50% EBITDA margin and +49% revenue look elite, but ~32% is rate-sensitive net interest and transaction is crypto-cyclical - even the bull is -40%.

2 **Crypto -47% is the cyclicality, in the open.**
Crypto transaction revenue fell 47% in a quarter; the offset (events +320%, options) proves the top line still swings with the trade.

3 **Rate cuts are a mechanical drag.**
~$40M/qtr per 25bp Fed cut flows straight out of net interest - a multi-hundred-million headwind the multiple doesn't discount.

4 **Diversification is genuine - but partial and early.**
Events, MIAXdx futures, Gold (4.3M/+36%), banking/credit and Bitstamp broaden the mix, yet on small bases against the crypto/rate core.

5 **SBC dilutes the per-share math.**
Share count (~888.5M) keeps rising on stock comp; growth must outrun dilution to lift per-share value.

FALSIFICATION TRIGGERS

Bull validation
events + futures + options scale to a steady >25% of transaction revenue · net-interest share falls below ~25% · deposit/Gold growth holds >20% · FCF margin holds >=33% through a rate-cut cycle

Bear validation
crypto transaction revenue keeps falling and isn't offset · net interest drops materially on Fed cuts · revenue growth normalizes below ~10% · regulatory action on tokenized equities or prediction markets

Reframe needed
if crypto + net interest stay the swing factors and the new lines plateau, re-rate the terminal toward a cyclical-broker multiple (Coinbase/IBKR), not a platform

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Do your own research.
Do not make investment decisions on the basis of this document. Consult a licensed financial professional and read the company's official SEC filings (10-K, 10-Q, 8-K, proxy) before forming any investment view. If you wouldn't trust your retirement to a chatbot, don't trust this either.

GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

Transaction revenue — Order-flow / transaction-based revenue from options, crypto, equities and event contracts (~$623M Q1, options the largest); the crypto-cyclical core diversification is meant to de-risk.

Net interest revenue — Interest earned on margin loans, cash and securities (~$359M Q1, ~32% of revenue); the rate-sensitive line losing ~$40M/qtr per 25bp Fed cut - the swing factor against the cycle.

Event contracts / prediction markets — Yes/no contracts on real-world outcomes (~$147M Q1, +320%); the fastest-growing new line and the centerpiece of the diversification thesis.

Gold subscription — Robinhood's ~$5/mo membership (4.3M subs, +36%) bundling higher rates, margin and perks; recurring, counter-cyclical revenue that deepens the customer relationship.

FCF margin — Free cash flow / revenue (~30-38% across scenarios); the mature-DCF lever - whether diversification keeps the high margin durable as the crypto/rate cycle turns.